

que trust (b), and where the *cestuis que trust* are tenants in common, they must cast lots for the presentation (c).

3. **Trustee may not buy up debts for himself.** — If trustees or executors buy up any debt or incumbrance to which the trust estate is liable for a less sum than is actually due thereon, they will not be allowed to take the benefit to themselves, but the creditors or legatees, or other *cestuis que trust*, shall have the advantage of it (d). [And if a trustee takes advantage of his position to buy up fixtures on the trust property, which he afterwards sells at a profit, he cannot personally retain the benefit so acquired (e); and the same principle applies to all persons in a fiduciary position, as in the case of a solicitor buying up incumbrances created by his client, for the purpose of relieving the client from embarrassment (f).] But if a trustee buy up a debt intending it for the *cestuis que trust*, and they refuse to take it or pay the purchase-money, they cannot, after lying by for a length of time, step forward when the speculation turns out profitably and claim the debt for themselves (g).

4. **Trustee trading with the trust estate must account for the profits.** — Again, if a trustee or executor use the fund committed to his care in buying and selling land, or in stock speculations, or lay out the trust money in a commercial adventure, as in fitting out a vessel for a voyage; or put it into the trade of another person from which he is to derive certain stipulated gains (h), or employ *it [*277] himself for the purposes of his own business or

(b) *Hawkins v. Chappel*, 1 Atk. 621; *Johnstone v. Baber*, 22 Beav. 562; *Briggs v. Sharp*, 20 L. R. Eq. 317.

(c) *Johnstone v. Baber*, 22 Beav. 562; reversed on this point on appeal, 6 De G. M. & G. 439.

(d) *Robinson v. Pett*, 3 P. W. 251, note (A); *Darcy v. Hall*, 1 Vern. 49; *Ex parte Lacey*, 6 Ves. 628, per Lord Eldon; *Morret v. Paske*, 2 Atk. 54, per Lord Hardwicke; *Anon.* 1 Salk. 155; *Carter v. Horne*, 1 Eq. Ca. Ab. 7; *Dunch v. Kent*, 1 Vern. 260; *Fosbrooke v. Baluey*, 1 M. & K. 226;

Pooley v. Quilter, 4 Drew. 184; 2 De G. & J. 327.

[(e) *Armstrong v. Armstrong*, 7 L. R. Ir. 207.]

[(f) *Macleod v. Jones*, 24 Ch. D. 289; but in such a case the solicitor will be allowed interest at the rate of 5l. per cent. on the money employed by him in buying up the incumbrances. S. C. 50 L. T. N. S. 358; 32 W. R. 600.]

(g) *Barwell v. Barwell*, 34 Beav. 371.

(h) *Docker v. Somes*, 2 M. & K. 664, per Lord Brougham.